

period was 8 percent and inflation was 3 percent, the real return would be 5 percent (8 percent - 3 percent).

Record Date The date used to determine who is eligible to receive a company's or fund's next distribution of dividends or capital gains.

Redemption The return of an investor's principal in a security. Bond redemption can occur at maturity or before maturity; mutual fund shares are redeemed at net asset value when an investor's holdings are liquidated.

Redemption Fee A fee charged by some mutual funds when an investor sells shares within a short period of time after their purchase.

Registered Investment Advisor (RIA) An investment professional who is registered—but not endorsed—by the Securities and Exchange Commission (SEC), who may recommend certain types of investment products.

Reinvestment Use of investment income to buy additional securities. Many mutual fund companies and investment services offer the automatic reinvestment of dividends and capital gains distributions as an option to investors.

Return of Capital A distribution that is not paid out of earnings and profits. It is a return of the investor's principal.

Risk Tolerance An investor's ability or willingness to endure declines in the prices of investments while waiting for them to increase in value.

R-Squared A measure of how much of a portfolio's performance can be explained by the returns on the overall market (or a benchmark index). If a portfolio's total return precisely matched the return on the overall market or benchmark, its R-squared would be 1.00. If a portfolio's total return bore no relationship to the market's returns, its R-squared would be 0.

Sector Diversification The percentage of a portfolio's stocks that is placed in companies in each of the major industry groups.

Sector Fund A mutual fund that concentrates on a relatively narrow market sector. These funds can experience higher share-price volatility than diversified funds because sector funds are subject to issues specific to a given sector.